

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-02

BED BATH & BEYOND INC.

v.

**ORIENT OVERSEAS CONTAINER LINE LIMITED
AND OOCL (EUROPE) LIMITED**

**RESPONDENTS' OPPOSITION TO
COMPLAINANT'S MOTION FOR PERMISSION TO
FILE PROPOSED VERIFIED SECOND AMENDED COMPLAINT**

Pursuant to 46 C.F.R. § 502.69 and § 502.71(b), Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited ("OOCL" or "Respondents"), by and through their undersigned counsel, hereby oppose Complainant Bed Bath & Beyond, Inc.'s ("BBBY" or "Complainant") Motion for Permission to File Proposed Verified Second Amended Complaint. For the reasons set forth below, BBBY's Motion to Amend should be denied and the parties should be required to adhere to the Fourth Revised Scheduling Order of August 23, 2024.¹

PRELIMINARY STATEMENT

This is Complainant's second request to amend its Complaint. Most notably, it is filed *after the close of discovery*, 130 days after the first amended Complaint, about 574 days after the

¹ Complainant has also, apropos of nothing, submitted as an extraneous exhibit a Declaration of David Kastin. Neither the exhibit nor arguments made on pages 6-7 of the Motion have any relevance to the matter of amending the complaint and are presumably being shoehorned in as a way to steal a march on Complainant's forthcoming response to Complainant's Motion to Strike, which is due to be filed on November 27, 2024. We assume that Complainant will attach the same Declaration to its response, and we will address it at its proper time.

original Complaint, and just 25 days before Complainant's Opening Brief is due. There is nothing in the proposed second amendment that is new to Complainant or could not have been included in the first amended Complaint, or presumably the original Complaint. The sole purpose of the proposed amendment, other than perhaps to defer the December 10 due date of Complainant's Opening Brief, seems to be one of gamesmanship, to increase the *in terrorem* effect of the amount of reparations sought by Complainant (adding an additional \$11.0 million plus) so as to intimidate Respondent into a settlement favorable to Complainant. That tactic will not work, but in any event should not be allowed at this late date, after discovery has closed. If the Presiding Officer is inclined to grant the motion, which there is no reason to do, she must also re-open the discovery period so that Respondent's rights under the Administrative Procedure Act and Due Process Clause to know and meet the evidence against it are not infringed.

Complainant's belated request for permission to again amend its complaint should be denied and the parties should be required to adhere to the Fourth Revised Scheduling Order of August 23, 2024. If Complainant has a legitimate basis to extend the deadlines in this proceeding, it should raise that matter in a straightforward manner, by a motion to extend, after conferring with Respondent.

ARGUMENT

1. The Applicable Standards

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

The FMC's Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12.

Under the Federal Rules of Civil Procedure, amendments to pleadings made more than 21 days after service require leave of the court, which should be freely given "when justice so requires." F.R.C.P. 15(a)(2). Despite the generally liberal standard for granting leave to amend, leave may be denied when there are reasons such as "futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (internal citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962). Prejudice to the opposing party is the most important factor. *Jackson v. Bank of Hawaii*, 902 F.2d 1385, 1387 (9th Cir. 1996) (citing *Zenith Radio Corp. v. Hazeltine Research, Inc.*, 401 U.S. 321, 330-31 (1971)). "Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court." *BNSF Ry. Co. v. San Joaquin Valley R.R. Co.*, 2011 WL 3328398, at *2, (E.D. Cal. Aug. 2, 2011) (citing *Mayeaux v. Louisiana Health Serv. and Indem. Co.*, 376 F.3d 420, 427 (5th Cir. 2004)). One situation where delay is frequently considered undue is when the requesting party has had previous opportunities to amend. *Cellectis S.A. v. Precision Biosciences*, 883 F. Supp. 2d 526, 532 (D. Del. 2012) (citing *Estate of Oliva ex rel. McHugh v. New Jersey*, 604 F.3d 788, 803 (3^d Cir. 2010)).

2. Complainant's Motion Should be Denied

BBBY asserts that the proposed amendment is purely “ministerial.” If that is true, then the amendment is entirely unnecessary, and justice does not require that it be allowed. And whether or not it is ministerial or substantive, it is inarguably both late and prejudicial, so that granting the motion would both prejudice Respondent and create unnecessary and undue delay.

a. Unnecessary Delay

Rather remarkably, Complainant pats itself on the back for filing its motion only a little bit late: “Complainant has acted diligently by submitting the instant motion within a week of the close of discovery.” Complainant has not, however, cited a single case where the Commission or a court has granted a motion to amend that was filed after the close of discovery. To the contrary, Chief Administrative Law Judge Wirth recently denied a motion to amend filed after the close of discovery. *SeaFair USA LLC, v. Sterling Container Line Ltd*, (ALJ July 6, 2023), 2023 WL 4418617 (emphasis added), stating:

“Here, ***the request to file an amended complaint was filed after discovery was completed*** and only ten days before SeaFair’s initial briefing was due. Delay is “undue” when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. *Collectis S.A. v. Precision Biosciences*, 883 F. Supp. 2d 526, 532 (D. Del. 2012) (citing *Estate of Oliva ex rel. McHugh v. New Jersey*, 604 F.3d 788, 803 (3d Cir. 2010)). “Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court.” *BNSF Ry. Co. v. San Joaquin Valley R.R. Co.*, 2011 WL 3328398, at *2, (E.D. Cal. Aug. 2, 2011) (citing *Mayreaux v. Louisiana Health Serv. and Indem. Co.*, 376 F.3d 420, 427 (5th Cir. 2004)). ***The undue delay caused by the request to amend the complaint at this late date, after discovery has closed and briefing is about to begin, justifies denying it.***”²

² See also, e.g., *Lockheed Martin Corp. v. Network Solutions, Inc.*, 194 F.3d 980, 986 (9th Cir. 1999)(“A need to reopen discovery and therefore delay the proceedings supports a district court’s finding of prejudice from a delayed motion to amend”).

Complainant seeks to excuse its tardy filing by claiming it only recently learned about facts and law. But neither of these assertions can be serious. With respect to “newly discovered facts” the Motion states, “such revisions are the result of Complainant collecting data that *it [Complainant] produced during discovery* in this action which allowed Complainant to identify additional wrongful charges.” Motion at 4 (emphasis added). Complainant does not allege that there are *any* newly discovered facts that it obtained from Respondent in discovery; rather, those “newly discovered” facts were known, or should have been known, to Complainant long ago when it produced its three-tera-byte data dump of discoverable documents (we might add - without notating any particular requests to which they were supposedly responsive).

This matter is thus on all fours with *Unique Indus., Inc. v. 965207 Alberta Ltd.*, 764 F. Supp. 2d 191 (D.D.C. 2011), where the court denied leave to amend a complaint after the preparation of expert reports and after the close of discovery, finding “...tardiness of the plaintiff’s motion is not excused by the plaintiff’s failure to discover evidence . . . until after the close of discovery, for...the plaintiff’s purported failure to uncover this evidence earlier in the litigation resulted from its lack of diligence in investigating its case.” *Id.* at 208. As in *965207 Alberta Ltd.*, Complainant’s failure to collect these facts, which its client/witnesses well knew, before filing the complaint may neither excuse its tardy investigation of the facts nor be used to bootstrap its own failure into a reason for the Presiding Officer to grant yet another request for leave to amend.³ Further to that point, the proposed revisions to the Complaint reflect only that Complainant has either (1) changed its math or (2) relied on facts it knew or should have known

³ As *965207 Alberta Ltd* suggests, what matters in assessing a motion for leave to amend is not what the outside lawyers knew, but what the client knew. A reverse perspective would perversely encourage counsel to know as little as possible, rather than as much as possible.

about long ago. As such, there is no excuse for dilatory action by Complainant. *See, e.g., Lemus v. Montano*, No. 23-CV-00108-RMM, 2024 WL 3673572, at *4 (D.D.C. Aug. 5, 2024).

Complainant's allegation that there has been a change in the law is similarly disingenuous. Motion at 5; *see, e.g., Hartis v. Chicago Title Ins. Co.*, 694 F.3d 935, 948 (8th Cir. 2012)(citations omitted). Complainant has in fact been citing the law it now claims is "new" since at least June 20, 2023, when it filed a Motion for Partial Decision on the Pleadings. Although the Commission has now affirmed the Initial Decisions in *MCS* and *OJ Commerce*, this does not in any way *change* the law, but just updates the citation. And even if the Commission's issuances could be characterized as "changes" in the law, they were issued over three months ago, so cannot be fairly referred to as "new." Finally, any purported change in law may be addressed in the briefs and does not require a belated amendment of the Complaint.

In sum, there are no "newly discovered facts," and there is no "change in the law." Accordingly, there is no plausible excuse for Complainant's lengthy delay and thus no basis for the Presiding Officer to grant Complainant's late request.

b. Prejudice to Respondent

Both the Commission and the courts have recognized that delay is by its nature usually prejudicial to a respondent, which is required, *inter alia*, to incur additional legal fees. As Judge Wirth explained in the *SeaFair* case quoted above:

"Moreover, the amended complaint may broaden the issues and lead to additional motions practice or the need to reopen discovery. This could further delay the proceeding and prejudice opposing parties. ***Courts particularly disfavor motions to amend whose timing prejudices the opposing party by requiring a reopening of discovery with additional costs, a significant postponement of the trial, and a likely major alteration in trial tactics and strategy.*** *Adams v. Magnusson*, 2021 WL 2078000, at *1 (D. Me. 2021) (citations omitted); *Acosta-Mestre v. Hilton Int'l of P.R., Inc.*, 156 F.3d 49, 52 (1st Cir. 1998)."

SeaFair, *supra*, 2023 WL 4418617, at *2 (emphasis added). Likewise, in *Duggins v. Steak & Shake, Inc.*, 195 F.3d 828, 834 (6th Cir. 1999) (emphasis added), the court said:

“At least one Sixth Circuit decision has held that ***allowing amendment after the close of discovery creates significant prejudice***, and other Circuits agree.” *Moore*, 790 F.2d at 560 (citing with approval *Hayes v. New England Millwork Distributors, Inc.*, 602 F.2d 15 (1st Cir.1979)). *See also*, *Campbell v. Emory Clinic*, 166 F.3d 1157 (11th Cir.1999); *MacDraw, Inc. v. CIT Group Equip. Financing, Inc.*, 157 F.3d 956 (2d Cir.1998); *Ferguson v. Roberts*, 11 F.3d 696 (7th Cir.1993); *Averbach v. Rival Mfg. Co.*, 879 F.2d 1196 (3rd Cir.1989).”

BBBY’s damages calculations were the subject of expert discovery, encompassing both its own expert report (served September 17, 2024) and testimony (taken October 21, 2024), and OOCL’s rebuttal reports (served October 14, 2024) and testimony (taken October 29, 31, and November 7, 2024). The would-be Second Amended Complaint is actually a rebuttal to OOCL’s expert’s rebuttal on the calculation of damages. As such, allowing the proposed Second Amended Complaint will clearly prejudice Respondents.

Furthermore, and contrary to Complainant’s motion, the proposed amendment would indeed broaden the issues, as Chief ALJ Wirth concluded in *SeaFair*, as quoted above (“the amended complaint may broaden the issues and lead to additional motions practice or the need to reopen discovery”). Complainant by its own admission has changed in part its theory and calculation of reparations and has produced numbers that are unexplained by Complainant and never evaluated before by Respondent or Respondent’s Rebuttal Experts. Under the FMC’s Rules, the grant of such an amendment would require the Presiding Officer to provide Respondent an opportunity to file a responsive pleading and to prepare for the changed reparations claims, including an opportunity for Respondent’s experts to prepare new versions of their Rebuttal Reports based on the changed reparations calculation. 46 C.F.R. §

502.66(a)(“No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues”).

Lastly, the proposed Second Amended Verified Complaint contains a new verification by Complainant’s former chief legal officer, David Kastin, whose verification accompanying Complainant’s First Amended Complaint OOCL has challenged as defective. This new verification, if allowed to stand, arguably would supplant his previous verification and seriously prejudice OOCL’s position given that OOCL has already deposed him and filed a motion to strike his verification. Further, this latest verification was executed after the close of discovery, and if accepted would require OOCL to move to reopen discovery to take his deposition yet again. There exists no excusable neglect that warrants allowing Complainant to file an amended Complaint after the close of discovery when all of the allegations sought to be added were within Complainant’s possession from the case’s inception.

CONCLUSION

For the reasons identified herein, Complainant’s Motion for Permission to File Verified Second Amended Complaint should be denied and the parties should be required to adhere to the Fourth Revised Scheduling Order of August 23, 2024.

Dated: November 21, 2024

Respectfully submitted,

/s/


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CERTIFICATE OF SERVICE

I certify that on the 21 day of November 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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